Bengen noted that the choice of the ceiling value really does not have much impact on sustainable spending. If the portfolio does well enough for spending to grow to the level of the ceiling, sequence risk does not manifest, and the current withdrawal rate declines. It becomes unlikely that portfolio depletion will be a concern. The important variable is the floor location. The lower the floor, the higher the initial withdrawal rate. With an appropriate choice of floor, it may be possible for spending to start higher but to never fall below the supported amount for the constant inflation-adjusted strategy.

Exhibit 6.9

Time Path of Real Spending and Wealth

Bengen's Hard-Dollar Floor-and-Ceiling Rule

For 4% Initial Spending Rate, 50/50 Asset Allocation, Rolling 30-Year Retirements

Using SBBI Data, 1926–2016, S&P 500 and Intermediate-Term Government Bonds